

Lord St. Leonards' Act. — We must here advert *in limine* to some important recent enactments. By *Lord St. Leonards' Act*, 22 & 23 Vict. c. 35, s. 23 (passed 13th August, 1859), it is declared that “the *bonâ fide* payment to and the receipt of any person to whom any *purchase* or *mortgage* money *shall be payable* upon any *express* or *implied* trust *shall* effectually discharge the person paying the same from seeing to the application or being answerable for the misapplication thereof, unless the contrary *shall be* expressly declared by the instrument creating the *trust or security.” It will be observed, 1. That the Act applies not to all monies subject to a trust, but only to monies arising from *sales* and *mortgages* and subject to a trust. 2. That the language of the section, more particularly of the latter part of it, is in the future tense, so that the enactment is not to be retrospective. If future settlors are to have the option of excluding the operation of the Act, it should not affect prior settlors who had no such option. 3. As regards trusts or mortgages created by instruments since the date of the Act, it would seem that to the extent of sale monies and mortgage monies the whole doctrine in equity of seeing to the application of money has been swept away. It cannot be said that where A. is trustee for B. the money is payable to B. and not to A., and that therefore the clause shall not apply, for the doctrine of equity is that the money is *payable* to A., but the purchaser or mortgagee is bound to see it properly *applied* by A.

sale, then the purchaser ordinarily must see the money properly applied; *Swasey v. Little*, 7 Pick. 296; *Bugbee v. Sargent*, 23 Me. 269; *Hoover v. Hoover*, 5 Barr. 351; *Leavitt v. Wooster*, 14 N. H. 560; *Lupton v. Lupton*, 2 Johns. Ch. 614; 3 Redf. Wills, 235. See further, *Gardner v. Gardner*, 3 Mason, 178; *Duffy v. Calvert*, 6 Gill, 487; *Hauser v. Shore*, 5 Ired. 357; *St. Mary's Church v. Stockton*, 4 Halst. Ch. 520. If a purchase is made under decree, the application of the purchase-money is immaterial; *Wilson v. Davisson*, 2 Rob. (Va.) 385; *Coombs v. Jordan*, 3 Bland, 284. The American rule is much less strict regarding the application of the money, than the English, *Redheimer v. Pyron*, 1 Speer's Eq. 141; *Rutledge v. Smith*, 1 Busb. Eq. 283. The purchaser will not be protected if he had any notice of an intention to misapply the purchase-money; *Shaw v. Spencer*, 100 Mass. 388; *Clyde v. Simpson*, 4 Ohio St. 445; *Williamson v. Morton*, 2 Md. Ch. 94.

The settlor's intention, if it can be determined, has much to do with the necessity of looking after the application of the money.